



“The focus of our reforms has been to do away with manual interventions and redundant processes”

RAMESH KRISHNAMURTHI
CENTRAL PF COMMISSIONER

THE EPFO CODE



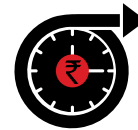
EPFO has given over 8% returns on PF deposits since 2011-12



The Central PF Commissioner underlines the robustness of the EPF corpus



The pension fund manager plans to create an interest stabilisation reserve to ensure a stable interest rate



Investments are held for the long term, holdings valued at cost rather than market rate

On its employers' portal, the EPFO will soon launch an option to enable employers to explain why they are not remitting PF dues in cases where the business has merged with another entity or there is no business taking place.

The EPFO has also signed a memorandum of understanding with the Government e-Marketplace (GeM) to ensure that outsourced workers in government offices through the portal are covered under social security. GeM and EPFO will work on system-level integration that will facilitate monthly verification of PF contributions by service providers.

PF RETURNS

When asked about PF returns, Krishnamurthi underscores the robustness of the EPFO corpus and

says the retirement fund manager is working on an interest stabilisation reserve mechanism that will ensure a stable interest rate to members despite volatility in interest rates.

“Let me assure you, our corpus of ₹28 lakh crore is extremely robust. We value all our holdings at cost even though the market value may be much higher. Second, most of our holdings are long term. We have been successful in locking interest rates for longer duration of time at slightly higher rates. Though there is a downturn now, in terms of interest rates coming down, our holdings are long term,” he says.

In FY25, the benchmark was 7.3% and both the EPFO's portfolio managers earned returns of 7.32–7.34% on debt investments. The differential was made up through redemption of exchange-

trade funds, he says.

The EPFO has managed to give over 8% returns on PF deposits since 2011-12 and has maintained a rate of 8.25% for FY25 and FY24.

Krishnamurthi signs off underlining the need for members to maintain their PF account, which will help compound returns and help them get a much bigger corpus at retirement. In fact, this is also one of the reasons the EPFO chose to ensure that members must have a 25% minimum balance in their accounts.

The EPFO is clearly trying to become more modern and in sync with expectations of subscribers. Much work is on at the EPFO and the months ahead will show the kind of impact it has. **BT**

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